

An Act

ENROLLED SENATE
BILL NO. 2104

By: Howard of the Senate

and

Schreiber of the House

An Act relating to trusts; amending 60 O.S. 2021, Section 175.23, which relates to jurisdiction of district court; clarifying venue of certain actions; clarifying necessary parties to certain actions; directing applicability of certain provisions; amending 60 O.S. 2021, Section 175.717, which relates to exceptions to power of distribution; modifying certain exceptions; amending Section 39, Chapter 369, O.S.L. 2024 (60 O.S. Supp. 2025, Section 1402), which relates to nonjudicial settlement agreements; defining term; directing applicability of certain provisions; amending Section 3, Chapter 254, O.S.L. 2025 (60 O.S. Supp. 2025, Section 1601.3), which relates to Oklahoma Uniform Trust Code definitions; modifying definitions; providing for enforceability of certain provisions; providing exceptions; providing certain evidentiary standard; construing provisions; amending Section 46, Chapter 254, O.S.L. 2025 (60 O.S. Supp. 2025, Section 1607.7), which relates to delivery of property by former trustee; modifying requirements for delivery of trust property by certain trustee; establishing procedures for trustee to obtain a nonjudicial settlement of account; requiring certain notice; stating required contents of certain notice; establishing procedures for objection to certain settlement; providing for distribution of trust assets under certain circumstances; barring certain claims; directing applicability of certain provisions; amending Sections 71 and 74, Chapter 254, O.S.L. 2025 (60 O.S. Supp. 2025, Sections 1609.7 and 1610.3), which relate to certification of trust and applicability; clarifying statutory reference; construing

provisions; updating statutory references; providing for codification; and providing an effective date.

SUBJECT: Trusts

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 60 O.S. 2021, Section 175.23, is amended to read as follows:

Section 175.23. A. The district court shall have original jurisdiction to construe the provisions of any trust instrument; to determine the law applicable thereto; the powers, duties, and liability of trustee; the existence or nonexistence of facts affecting the administration of the trust estate; to require accounting by trustees; to surcharge trustee; and in its discretion to supervise the administration of trusts; and all actions ~~hereunder~~ under this section are declared to be proceedings in rem.

B. The venue of such actions shall be ~~in the county where the trustees or any cotrustee resides as provided in Section 1602.3 of this title.~~ Upon obtaining jurisdiction the same shall not be divested by the removal of the trustee from the county where the action is commenced.

C. Actions ~~hereunder~~ under this section may be brought by a trustee, beneficiary, or any person affected by the administration of the trust estate. If the action is predicated upon any act or obligation of any beneficiary, the beneficiary shall be a necessary party to the proceedings. The ~~only~~ necessary parties to such actions shall be ~~those persons designated as beneficiaries by name or class in the instrument creating the trust and who have a vested interest in the trust which is the subject of the action include~~ qualified beneficiaries as defined in Section 1601.3 of this title, those persons currently serving as trustees of the trust, and any persons who may be actually receiving distributions from the trust estate at the time the action is filed. ~~Contingent beneficiaries designated by name or class shall not be necessary parties.~~

D. The provisions of Article 3 of the Oklahoma Uniform Trust Code relating to representation shall apply to all actions and proceedings brought under the provisions of this act.

E. The provisions of the statutes governing civil procedure, commencement of action, process, process by publication, appointment of guardians ad litem, supersedeas and appeal, shall govern all actions and proceedings brought under provisions of this act.

~~E.~~ F. A court of competent jurisdiction may, for cause shown and upon notice to the ~~beneficiaries~~ necessary parties identified in subsection C of this section, relieve a trustee from any or all of the duties and restrictions which would otherwise be placed upon the trustee by this act, or wholly or partly excuse a trustee who has acted honestly and reasonably from liability for violations of the provisions of this act; provided, that any such action or request for action shall proceed under the provisions of Title 12 of the Oklahoma Statutes governing temporary restraining orders and temporary injunctions.

SECTION 2. AMENDATORY 60 O.S. 2021, Section 175.717, is amended to read as follows:

Section 175.717.

EXCEPTIONS TO POWER OF DISTRIBUTION

An authorized trustee shall not exercise a power to distribute principal of a trust under Section ~~3~~ 175.703 or ~~4~~ 175.704 of this ~~act~~ title to:

1. Reduce, limit or modify a beneficiary's current, vested right to:
 - a. receive a mandatory distribution of income or principal,
 - b. receive a mandatory annuity or unitrust interest,
 - c. withdraw a percentage of the value of the trust, or
 - d. withdraw a specified dollar amount from the trust;

2. Materially limit a trustee's fiduciary duty:

- a. under the terms of the trust, or
- b. in a manner that would be prohibited by the Oklahoma Trust Act, Section 175.1 et seq. of ~~Title 60 of the Oklahoma Statutes~~ this title, the Oklahoma Prudent Investor Act, Section 175.60 et seq. of ~~Title 60 of the Oklahoma Statutes~~ this title, the Oklahoma Principal and Income Act, Section 175.101 et seq. of ~~Title 60 of the Oklahoma Statutes~~ or this title, the Oklahoma Charitable Fiduciary Act, Section 301.1 et seq. of ~~Title 60 of the Oklahoma Statutes~~ this title, or the Oklahoma Uniform Trust Code, Section 1601.1 et seq. of this title;

3. Decrease or indemnify against a trustee's liability or exonerate a trustee from liability;

4. Add a provision exonerating a trustee for failure to exercise reasonable care, diligence and prudence;

5. Eliminate a provision granting another person the right to remove or replace the authorized trustee exercising the distribution power under Section ~~3~~ 175.703 or ~~4~~ 175.704 of this ~~act~~ title; or

6. Reduce, limit or modify in the second trust a perpetuities provision included in the first trust, unless expressly permitted by the terms of the first trust.

SECTION 3. AMENDATORY Section 39, Chapter 369, O.S.L. 2024 (60 O.S. Supp. 2025, Section 1402), is amended to read as follows:

Section 1402. A. Except as otherwise provided in subsection B of this section, the trustee and the qualified beneficiaries may enter into a binding nonjudicial settlement agreement with respect to any matter involving a trust.

B. A nonjudicial settlement agreement is valid only to the extent it does not violate a material purpose of the trust and

includes terms and conditions that could be properly approved by the court under this act or other applicable law.

C. Matters that may be resolved by a nonjudicial settlement agreement include, but are not limited to:

1. The interpretation or construction of the terms of the trust;
2. The approval of a trustee's report or accounting;
3. Direction to a trustee to refrain from performing a particular act or the grant to a trustee of any necessary or desirable power;
4. The resignation or appointment of a trustee and the determination of a trustee's compensation;
5. Transfer of a trust's principal place of administration;
6. Liability of a trustee for an action relating to the trust;
7. The extent or waiver of bond of a trustee;
8. The governing law of the trust;
9. The criteria for distribution to a beneficiary where the trustee is given discretion;
10. The resignation, appointment, and establishment of the powers and duties of trust protectors or trust advisors; and
11. The approval of an investment decision, delegation, policy, plan, or program.

D. Any qualified beneficiary or trustee may request the court to approve a nonjudicial settlement agreement, to determine whether the representation was adequate, and to determine whether the agreement contains terms and conditions the court could have properly approved.

E. For purposes of this section, "qualified beneficiary" shall have the meaning set forth in Section 1601.3 of this title.

F. The provisions of Article 3 of the Oklahoma Uniform Trust Code relating to representation shall apply to nonjudicial settlement agreements under this section.

SECTION 4. AMENDATORY Section 3, Chapter 254, O.S.L. 2025 (60 O.S. Supp. 2025, Section 1601.3), is amended to read as follows:

Section 1601.3. As used in this act:

1. "Action", with respect to an act of a trustee, includes a failure to act;

2. "Ascertainable standard" means a standard relating to an individual's health, education, support, or maintenance within the meaning of Section 2041(b)(1)(A) or 2514(c)(1) of the Internal Revenue Code of 1986, as in effect on the effective date of this act, or as later amended;

3. "Beneficiary" means a person who:

a. has a present or future beneficial interest in a trust, vested or contingent, or

b. in a capacity other than that of trustee, holds a power of appointment over trust property;

4. "Charitable trust" means a trust, or portion of a trust, created for a charitable purpose described in subsection A of Section ~~24~~ 1604.5 of this ~~act~~ title;

5. "Environmental law" means a federal, state, or local law, rule, regulation, or ordinance relating to the protection of the environment;

6. "Guardian of the property" means a person appointed by the court to administer the estate of a minor or adult individual;

7. "Guardian of the person" means a person appointed by the court to make decisions regarding the support, care, education, health, and welfare of a minor or adult individual. The term does not include a guardian ad litem;

8. "Interests of the beneficiaries" means the beneficial interests provided in the terms of the trust;

9. "Jurisdiction", with respect to a geographic area, includes a state or country;

10. "Person" means an individual, corporation, business trust, estate, trust, partnership, limited liability company, association, joint venture, government, governmental subdivision, agency, or instrumentality, public corporation, or any other legal or commercial entity;

11. "Power of withdrawal" means a presently exercisable general power of appointment other than a power:

- a. exercisable by a trustee and limited by an ascertainable standard, or
- b. exercisable by another person only upon consent of the trustee or a person holding an adverse interest;

12. "Property" means anything that may be the subject of ownership, whether real or personal, legal or equitable, or any interest therein;

13. "Qualified beneficiary" means a beneficiary who, on the date the beneficiary's qualification is determined:

- a. is a distributee or permissible distributee of a ~~present interest in the trust income or principal, or has a vested remainder in the trust,~~
- b. would be a distributee or permissible distributee of trust income or principal if the interests of the distributee described in subparagraph a of this paragraph terminated on such date,

c. would be a distributee or permissible distributee of trust income or principal if the trust terminated on such date,

d. is a charitable organization expressly entitled to receive benefits under the terms of a charitable trust, or

~~e.~~ e. is the Attorney General of this state with respect to a charitable trust having its principal place of administration in this state;

14. "Revocable", as applied to a trust, means revocable by the settlor without the consent of the trustee or a person holding an adverse interest;

15. "Settlor" means a person, including a testator, who creates, or contributes property to, a trust. If more than one person creates or contributes property to a trust, each person is a settlor of the portion of the trust property attributable to that person's contribution except to the extent another person has the power to revoke or withdraw that portion;

16. "Spendthrift provision" means a term of a trust which restrains both voluntary and involuntary transfer of a beneficiary's interest;

17. "State" means a state of the United States, the District of Columbia, Puerto Rico, the United States Virgin Islands, or any territory or insular possession subject to the jurisdiction of the United States. The term includes an Indian tribe or band recognized by federal law or formally acknowledged by a state;

18. "Terms of a trust" means:

a. except as otherwise provided in subparagraph b of this paragraph, the manifestation of the settlor's intent regarding a trust's provisions as:

(1) expressed in the trust instrument, or

- (2) established by other evidence that would be admissible in a judicial proceeding, or
- b. the trust's provisions, as established, determined, or amended by:
 - (1) a trustee or other person in accordance with applicable law,
 - (2) a court order, or
 - (3) a nonjudicial settlement agreement under Section 1402 of ~~Title 60 of the Oklahoma Statutes~~ this title;

19. "Trust instrument" means an instrument executed by the settlor that contains terms of the trust, including any amendments thereto; and

20. "Trustee" includes an original, additional, and successor trustee, and a ~~co-trustee~~ cotrustee.

SECTION 5. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 1604.17 of Title 60, unless there is created a duplication in numbering, reads as follows:

A. A provision in a will or trust that would cause a forfeiture of or void a devise or provision in favor of a person for bringing a court action contesting a will or trust, shall be enforceable unless in a court action determining whether the forfeiture clause should be enforced, the person who brought the action contrary to the forfeiture clause establishes by a preponderance of the evidence that:

- 1. Just cause existed for bringing the action; and
- 2. The action was brought and maintained in good faith.

B. Forfeiture clauses generally shall not be construed to prevent a beneficiary from seeking to compel a fiduciary to perform the fiduciary's duties, seeking redress against a fiduciary for a

breach of the fiduciary's duties, or seeking a judicial construction of a will or trust.

SECTION 6. AMENDATORY Section 46, Chapter 254, O.S.L. 2025 (60 O.S. Supp. 2025, Section 1607.7), is amended to read as follows:

Section 1607.7. A. Unless a ~~co-trustee~~ cotrustee remains in office or the court otherwise orders, and until the trust property is delivered to a successor trustee or other person entitled to it, a trustee who has resigned or been removed has the duties of a trustee and the powers necessary to protect the trust property.

B. A trustee who has resigned or been removed shall ~~proceed expeditiously to~~ within a reasonable time deliver the trust property within the trustee's possession to the ~~co-trustee~~ cotrustee, successor trustee, or other person entitled to it the property, subject to the right of the trustee to retain a reasonable reserve for the payment of debts, expenses, and taxes. The provisions of this subsection shall be in addition to and are not in derogation of the rights of a removed or resigning trustee under the common law.

SECTION 7. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 1608.17 of Title 60, unless there is created a duplication in numbering, reads as follows:

A. A trustee may elect to proceed under this section to obtain a nonjudicial settlement of account when the:

1. Trust terminates in whole or in part;
2. Trustee ceases or intends to cease to serve for any reason;
or
3. Trustee seeks discharge for an interim accounting period when the trust is continuing.

B. Within a reasonable time after a trustee elects to proceed under this section, the trustee shall give notice of a request for nonjudicial account settlement in the manner and to the extent required by subsections A, B, and C of Section 1601.9 of Title 60 of the Oklahoma Statutes to:

1. The qualified beneficiaries of the trust;

2. Any other beneficiary who has sent the trustee a written request for notice; and

3. Any cotrustee, trust director, or similar fiduciary or successor trustee.

C. The trustee may also provide notice to any other person who the trustee reasonably believes may have an interest in the trust.

D. Whether notice is mandatory or permissive, the trustee may give notice to a representative in accordance with Article 3 of the Oklahoma Uniform Trust Code relating to representation. The time period for the presumption of the representative's acceptance of the representation shall be deemed to run concurrently with the notice period provided under this section.

E. The notice under subsection B or C of this section shall provide:

1. The reason for providing notice under this section;

2. To the extent applicable, the proposed distribution of the net assets of the trust, including the distributees and proportions to be distributed;

3. To the extent applicable, an estimate of disbursements anticipated to be made prior to distribution, including legal fees and trustee fees, if any;

4. Trust account statements showing all transactions, the fair market value of all assets and realized and unrealized gains and losses on assets held in the account for thirty (30) months prior to the date a trust terminates, the cessation of the trustee's service or statement of intent to cease to serve, or the end of the interim accounting period, or for the entire term of the trust if the term of the trust is shorter than the thirty-month period;

5. A statement that the trustee seeks settlement of the account of the trust, including the period of time for which the trustee

seeks discharge of the account of the trust, and that clearly and conspicuously states that claims against a trustee under Article 9 of the Oklahoma Uniform Trust Code relating to liability of trustees and rights of persons dealing with trustees and Sections 175.23 and 175.57 of Title 60 of the Oklahoma Statutes, if applicable, will be forever barred if no objections are received within the time period described in subsection G of this section;

6. The name and mailing address of the trustee; and

7. The name and telephone number of a person who may be contacted for additional information.

F. To the extent applicable, distributions from a terminating trust, and any fees and expenses due or anticipated as of the date that the settlement of account is requested, may be held by or on behalf of the trustee until the settlement of account is approved or deemed approved as provided by this section.

G. A person provided notice under subsection B or C of this section may object to the settlement of account by giving written notice to the trustee within sixty (60) days after the notice was sent. If a person given notice under subsection B or C of this section makes timely objections to the settlement of account, the trustee or the person making the objections may:

1. Submit the written objection to the court and commence a proceeding for its resolution; or

2. Resolve the objection by nonjudicial settlement agreement under Section 1402 of Title 60 of the Oklahoma Statutes or by other statutory authority.

H. If no timely objections are raised under subsection G of this section, or objections are resolved as provided by subsection G of this section, the settlement of account shall be deemed approved and any assets held in trust shall, within a reasonable time thereafter, be distributed subject to payment of expenses as provided in subsection F of this section or shall continue to be administered in trust subject to payment of expenses.

I. The trustee may rely upon the written statement of a person receiving notice that the person does not object.

J. 1. When a settlement of account is deemed approved under this section for a terminated trust or with respect to the duties of a trustee who ceased to serve or stated an intent to cease to serve, each person who was sent notice as provided by subsection B or C of this section is barred from bringing a claim against the trustee or challenging the distribution of assets of the trust to the same extent and with the same preclusive effect as if the court had entered a final, unappealable order approving the trustee's final account.

2. When a settlement of account for a trustee seeking final settlement of an interim trust account is deemed approved under this section, each person who was sent notice as provided by subsection B or C of this section is barred from bringing a claim against the trustee for the period of the interim trust account to the same extent and with the same preclusive effect as if the court had entered a final, unappealable order approving the trustee's interim trust account.

K. The provisions of Article 3 of the Oklahoma Uniform Trust Code relating to representation shall apply to an account settlement under this section.

L. Nothing in this section shall preclude a trustee from proceeding under Section 175.23 of Title 60 of the Oklahoma Statutes.

SECTION 8. AMENDATORY Section 71, Chapter 254, O.S.L. 2025 (60 O.S. Supp. 2025, Section 1609.7), is amended to read as follows:

Section 1609.7. A. Instead of furnishing a copy of the trust instrument to a person other than a beneficiary, and in lieu of or in addition to a memorandum of trust under subsection A of Section ~~175.6~~ 175.6a of Title 60 of the Oklahoma Statutes, the trustee may furnish to the person a certification of trust containing the following information:

1. That the trust exists and the date the trust instrument was executed;

2. The identity of the settlor;

3. The identity and address of the currently acting trustee;

4. The powers of the trustee;

5. The revocability or irrevocability of the trust and the identity of any person holding a power to revoke the trust;

6. The authority of co-trustees to sign or otherwise authenticate and whether all or less than all are required in order to exercise powers of the trustee;

7. The trust's taxpayer identification number; and

8. The manner of taking title to trust property.

B. A certification of trust under this section may be signed or otherwise authenticated by any trustee.

C. A certification of trust under this section must state that the trust has not been revoked, modified, or amended in any manner that would cause the representations contained in the certification of trust to be incorrect.

D. A certification of trust under this section need not contain the dispositive terms of a trust.

E. A recipient of a certification of trust under this section may require the trustee to furnish copies of those excerpts from the original trust instrument and later amendments which designate the trustee and confer upon the trustee the power to act in the pending transaction.

F. A person who acts in reliance upon a certification of trust under this section without knowledge that the representations contained therein are incorrect is not liable to any person for so acting and may assume without inquiry the existence of the facts contained in the certification. Knowledge of the terms of the trust

may not be inferred solely from the fact that a copy of all or part of the trust instrument is held by the person relying upon the certification.

G. A person who in good faith enters into a transaction in reliance upon a certification of trust under this section may enforce the transaction against the trust property as if the representations contained in the certification were correct.

H. A person making a demand for the trust instrument in addition to a certification of trust under this section, or excerpts of the trust instrument, is liable for damages if the court determines that the person did not act in good faith in demanding the trust instrument.

I. This section does not limit the right of a person to obtain a copy of the trust instrument in a judicial proceeding concerning the trust.

SECTION 9. AMENDATORY Section 74, Chapter 254, O.S.L. 2025 (60 O.S. Supp. 2025, Section 1610.3), is amended to read as follows:

Section 1610.3. A. Except as otherwise provided in this act, on the effective date of this act:

1. This act applies to all trusts created before, on, or after its effective date;

2. This act applies to all judicial proceedings concerning trusts commenced on or after its effective date;

3. This act applies to judicial proceedings concerning trusts commenced before its effective date unless the court finds that application of a particular provision of this act would substantially interfere with the effective conduct of the judicial proceedings or prejudice the rights of the parties, in which case the particular provision of this act does not apply and the superseded law applies;

4. Any rule of construction or presumption provided in this act applies to trust instruments executed before the effective date of

this act unless there is a clear indication of a contrary intent in the terms of the trust; and

5. An act ~~enacted~~ done before the effective date of this act is not affected by this act.

B. 1. If a right is acquired, extinguished, or barred upon the expiration of a prescribed period that has commenced to run under any other statute before the effective date of this act, that statute continues to apply to the right even if it has been repealed or superseded.

2. For avoidance of doubt, if a duty owed to a beneficiary is dependent upon the definition of "qualified beneficiary", such duty shall not apply to actions or inactions prior to the effective date of the enactment of such definition. This paragraph shall not be construed to modify the law existing prior to the effective date of such definition.

C. The applicable provisions of the Oklahoma Trust Act shall continue to apply, unless such provision is inconsistent with an express provision of this act and, further, except as expressly provided in this act.

SECTION 10. This act shall become effective November 1, 2026.

Passed the Senate the 11th day of March, 2026.

Presiding Officer of the Senate

Passed the House of Representatives the 6th day of May, 2026.

Presiding Officer of the House
of Representatives

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____

Approved by the Governor of the State of Oklahoma this _____

day of _____, 20_____, at _____ o'clock _____ M.

Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this _____

day of _____, 20_____, at _____ o'clock _____ M.

By: _____